

FIXED INCOME'S QUIET REVIVAL

India's bond market is growing fast. Global uncertainty and a search for stable returns promise a bright year for fixed-income investors

BY PRINCE TYAGI

FOR INVESTORS WHO don't have the stomach for the gut-wrenching ups and downs of the equities market, fixed income investing is making a quiet comeback with the promise of a smoother ride.

For years, bonds and debt mutual funds were eclipsed by equities as they were seen as low-return investments. But that no longer holds true. Rising bond yields, improving credit quality and wider mutual fund choices have reshaped the risk-reward balance at a time equity valuations look stretched.

Nikhil Aggarwal, founder & Group CEO, Grip Invest, says debt mutual funds are now a serious alternative to fixed deposits (FDs). "Debt MFs, especially liquid schemes and AAA-rated corporate bond fund schemes, are highly liquid, with nil to low exit rates, and

exposure predominantly to sovereign credit of the government of India or some of India's largest corporates," he says, adding that FD rates have fallen after recent repo rate cuts. "Several debt schemes and Indian bonds have delivered steady returns."

Over the last several years, bond returns have averaged 7–8% annually, with much lower volatility than equities, say experts. One reason for is the rapidly expanding bond market. Funds raised via debt securities through the primary market have risen steadily over the past decade, reflecting the government's growing reliance on market borrowings. After remaining below ₹5 lakh crore in FY15 and FY16, debt sales accelerated post-pandemic, crossing ₹9 lakh crore in FY21 and reaching a record ₹13.37 lakh crore in FY25, underscoring the increasing role of debt markets in financing

fiscal needs.

The shift is visible not only in domestic portfolios. National Securities Depository Ltd data shows a clear trend: foreign portfolio investors (FPIs) have reduced exposure to equities in recent years but their interest in Indian debt has increased. After strong equity inflows in FY21, FPIs were net sellers of equities in FY22 and FY23. Equity flows remained volatile in FY25 too, but debt saw steady inflows, amid global uncertainty.

In FY24, FPIs invested ₹1.2 lakh crore in debt, followed by ₹1.36 lakh crore in FY25. In 2025, till November, equities saw net outflows, while debt continued to attract steady inflows. This gap reflects a broader global trend, where investors are looking for stability, predictable income, and better downside protection. The dominance of equities is being challenged.